HF Group Plc

Summary Consolidated Statement of Financial Position

	Unaudited 30.06.2019 Shs '000	Audited 31.12.2018 Shs '000	Unaudited 30.06.2018 Shs '000
ASSETS			
Cash and balances with Central Bank of Kenya	2,633,149	2,917,083	3,367,253
Balances with Banks	497,417	1,904,695	694,459
Investments in Government Securities	4,248,219	3,212,140	4,029,249
Loans and advances to banks	239,724	253,404	263,999
Loans and advances to customers	40,303,658	43,186,287	47,329,742
Other assets	5,682,098	4,639,593	5,546,980
Property and equipment	1,266,281	2,078,978	2,187,278
Prepaid operating lease	42,962	43,284	42,023
Other Intangible assets	923,633	1,007,553	1,006,455
Current tax recoverable	213,932	311,739	217,127
Deferred income tax asset	944,585	994,594	825,663
TOTAL ASSETS	**56,995,658**	**60,549,350**	**65,510,228**
LIABILITIES			
Deposits and current accounts - Customers	33,831,076	34,720,824	36,214,806
Deposits and current accounts - Banks	69,262	578,216	379,656
Other liabilities	2,088,013	1,410,327	2,140,213
Borrowings	10,635,864	13,468,749	15,638,584
Current Income tax payable	-	3	3
Deferred tax liability	-	-	-
TOTAL LIABILITIES	**46,624,215**	**50,178,119**	**54,373,262**
EQUITY			
Ordinary share capital	1,923,071	1,923,071	1,923,071
Ordinary share premium	4,343,512	4,343,512	4,343,512
Revenue and other reserves	4,054,110	4,053,898	4,819,633
Proposed Dividend	-	-	-
Capital grants	50,750	50,750	50,750
TOTAL EQUITY	**10,371,443**	**10,371,231**	**11,136,966**
TOTAL LIABILITIES AND EQUITY	**56,995,658**	**60,549,350**	**65,510,228**

HF Group Plc

Summary Consolidated Statement of Profit or Loss

	Unaudited	Audited	Unaudited
	30.06.2019	31.12.2018	30.06.2018
	Shs '000	Shs '000	Shs '000
Net interest income	1,027,203	2,265,673	1,343,150
Non-interest revenue	914,179	1,319,057	586,816
Total income	**1,941,382**	**3,584,730**	**1,929,966**
Credit impairment charges	(369,456)	(375,908)	(228,135)
Income after impairment charges	**1,571,926**	**3,208,822**	**1,701,831**
Total operating expenses	(1,666,240)	(3,860,507)	(1,689,206)
Profit before taxation	**(94,314)**	**(651,685)**	**12,625**
Exceptional items	-	8,941	19
Profit after exceptional item	**(94,314)**	**(642,744)**	**12,644**
Income tax expense	(2,717)	44,526	(5,816)
Profit for the period	**(97,031)**	**(598,218)**	**6,828**

Summary Consolidated Statement of Other Comprehensive Income for the period ended 31 December 2018

	Unaudited	Audited	Unaudited
	30.06.2019	31.12.2018	30.06.2018
	Shs '000	Shs '000	Shs '000
Profit for the period	**(97,031)**	**(598,218)**	**6,828**
Other Comprehensive Income			
Foreign currency translation differences for foreign operations	-	-	-
Revaluation surplus on Property,plant and equipment	-	860	-
Fair value changes on available for sale financial assets	138,919	60,379	46,121
Deferred income tax on fair valuation of available for sale financial assets	(41,676)	(18,114)	(13,836)
Other Comprehensive Income net of tax	**97,243**	**43,125**	**32,285**
Total comprehensive income	**212**	**(555,093)**	**39,113**
Total profit attributable to: Equity holders of the parent	**(97,031)**	**(598,218)**	**6,828**
Total comprehensive income attributable to: Equity holders of the parent	**212**	**(555,093)**	**39,113**
Earnings per share basic and diluted (in Shs):	**(0.50)**	**(1.56)**	**0.04**
Dividend per share (in Shs):	-	-	-

HF Group Plc

Summary Consolidated Statement of Changes in Equity as at 30 June 2019

	Share capital	Share premium	Revenue and other reserves	Dividend reserve	Total equity
	Shs '000	Shs '000	Shs '000	Shs '000	Shs '000
At 1 January 2019	**1,923,071**	**4,343,512**	**4,053,898**	**-**	**10,320,481**
Profit for the period	-	-	(97,031)	-	**(97,031)**
Other comprehensive income	-	-	97,243	-	**97,243**
At 30 June 2019	**1,923,071**	**4,343,512**	**4,054,110**	**-**	**10,320,693**

HF Group Plc

Summary Consolidated Statement of Cashflow as at 30 June 2019

	Unaudited	Audited	Unaudited
	30.06.2019	31.12.2018	30.06.2018
	Shs '000	Shs '000	Shs '000
Net cash used in operating activities	**(1,514,745)**	**2,952,935**	**(581,299)**
Cash flows from investing activities	(125,203)	(894,322)	(781,251)
Cash flows from financing activities	-	(2,712,090)	(123,653)
Net increase/(decrease) in cash and cash equivalents	**(1,639,948)**	**(653,477)**	**(1,486,203)**
Cash and cash equivalents at 1 January	3,009,372	3,662,849	3,662,849
Cash and cash equivalents at period end	**1,369,424**	**3,009,372**	**2,176,646**

HFC LTD

UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

		Bank				Group Consolidated		
I	STATEMENT OF FINANCIAL POSITION	30.06.2018	31.12.2018	31.03.2019	30.06.2019	30.06.2018	31.12.2018	30.06.2019
	AS AT 30 JUNE 2019	UnAudited	Audited	UnAudited	UnAudited	UnAudited	Audited	UnAudited
A.	ASSETS	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)
1	Cash balances (both local and foreign)	400,525	356,884	426,040	477,874	400,525	356,884	477,874
2	Balances due from Central Bank of Kenya	2,239,721	2,423,468	2,079,232	2,155,275	2,239,721	2,423,468	2,155,275
3	Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-	-
4	Financial Assets at fair value through profit and loss	-	-	-	-	-	-	-
5	Investment Securities:	-	-	-	-	-	-	-
	a) Held to Maturity:	**1,417,444**	**515,801**	**591,117**	**515,641**	**1,417,444**	**515,801**	**515,641**
	a. Kenya Government securities	1,417,444	515,801	591,117	515,641	1,417,444	515,801	515,641
	b. Other securities	-	-	-	-	-	-	-
	b) Available for sale:	**2,611,805**	**2,696,339**	**3,022,567**	**3,732,578**	**2,611,805**	**2,696,339**	**3,732,578**
	a. Kenya Government securities	2,611,805	2,696,339	3,022,567	3,732,578	2,611,805	2,696,339	3,732,578
	b. Other securities	-	-	-	-	-	-	-
6	Deposits and balances due from local banking institutions	1,227,847	1,696,302	1,221,604	326,980	1,227,847	1,696,302	326,980
7	Deposits and balances due from banking institutions abroad	193,489	345,124	108,846	170,437	193,489	345,124	170,437
8	Tax recoverable	147,691	184,898	185,772	187,554	217,127	311,739	213,932
9	Loans and advances to customers (net)	47,593,741	44,615,058	43,307,899	41,852,265	47,593,741	43,439,691	40,543,382
10	Balances due from banking institutions in the group	-	-	-	-	-	-	-
11	Investments in associates	-	-	-	-	-	-	-
12	Investments in subsidiary companies	-	-	-	-	-	-	-
13	Investment in Joint ventures	254,580	236,627	236,627	236,627	1,714,020	1,690,210	2,589,226
14	Investment properties	-	-	-	118,003	745,829	-	844,135
15	Property and equipment	1,436,261	1,339,729	1,301,188	1,257,638	1,441,449	2,078,978	1,266,281
16	Prepaid operating lease rentals	38,244	38,013	37,898	37,782	42,023	43,284	42,962
17	Intangible assets	1,006,132	1,006,692	960,204	923,550	1,006,455	1,007,553	923,633
18	Deferred tax asset	802,600	854,804	835,244	813,128	825,663	994,594	944,585
19	Retirement benefit asset	-	.	-	-	-	-	-
20	Other assets	892,832	773,544	891,493	1,217,160	3,833,089	2,949,383	2,248,737
21	**TOTAL ASSETS**	**60,262,912**	**57,083,283**	**55,205,731**	**54,022,492**	**65,510,228**	**60,549,350**	**56,995,658**
B.	**LIABILITIES**							
22	Balances due to Central Bank of Kenya	-	-	-	-	-	-	-
23	Customer deposits	36,386,264	34,866,684	34,133,142	33,956,889	36,214,806	34,720,824	33,831,076
24	Deposits and balances due to local banking institutions	379,656	578,216	122,460	69,262	379,656	578,216	69,262
25	Deposits and balances due to foreign banking institutions	-	-	-	-	-	-	-
26	Other money market deposits	-	-	-	-	-	-	-
27	Borrowed funds	13,190,194	11,520,964	11,127,399	10,258,130	15,638,583	13,468,749	10,635,864
28	Balances due to banking institutions in the group	-	-	-	-	-	-	-
29	Tax payable	-	-	-	-	3	3	-
30	Dividends payable	-	-	-	-	46,567	28,055	2,317
31	Deferred tax liability	-	-	-	-	-	-	-
32	Retirement benefit liability	-	-	-	-	-	-	-
33	Other liabilities	608,779	952,459	658,163	550,356	2,093,646	1,382,275	2,085,693
34	**TOTAL LIABILITIES**	**50,564,893**	**47,918,323**	**46,041,164**	**44,834,637**	**54,373,261**	**50,178,119**	**46,624,212**
C.	**SHAREHOLDERS' FUNDS**							
35	Paid up /Assigned capital	5,000,000	5,000,000	5,000,000	5,000,000	1,923,071	1,923,071	1,923,071
36	Share premium/(discount)	3,513,662	3,513,662	3,513,662	3,513,662	4,343,512	4,343,512	4,343,512
37	Revaluation reserves	179,580	180,440	180,440	180,440	881,044	881,903	881,903
38	Retained earnings/Accumulated losses	253,516	(1,440,413)	(1,846,360)	(1,940,662)	3,264,317	1,292,470	769,538
39	Statutory loan loss reserves	690,214	1,885,489	2,245,403	2,311,390	690,214	1,885,489	2,311,390
40	Other Reserves	10,297	(24,968)	20,672	72,275	(15,941)	(5,961)	91,282
41	Proposed dividends	-	-	-	-	-	-	-
42	Capital grants	50,750	50,750	50,750	50,750	50,750	50,750	50,750
43	**TOTAL SHAREHOLDERS' FUNDS**	**9,698,019**	**9,164,960**	**9,164,567**	**9,187,855**	**11,136,967**	**10,371,231**	**10,371,446**
44	**TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS**	**60,262,912**	**57,083,283**	**55,205,731**	**54,022,492**	**65,510,228**	**60,549,350**	**56,995,658**

HFC LTD

UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

		Bank				Group Consolidated		
II	STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDED 30 JUNE 2019	30.06.2018 UnAudited (Ksh'000)	31.12.2018 Audited (Ksh'000)	31.03.2019 UnAudited (Ksh'000)	30.06.2019 UnAudited (Ksh'000)	30.06.2018 UnAudited (Ksh'000)	31.12.2018 Audited (Ksh'000)	30.06.2019 UnAudited (Ksh'000)
1	**INTEREST INCOME**							
1.1	Loans and advances	3,023,058	5,661,554	1,253,587	2,490,651	3,023,058	5,661,554	2,490,651
1.2	Government securities	145,674	338,823	91,233	195,706	145,674	338,823	195,706
1.3	Deposits and placements with banking institutions	25,414	45,144	5,894	10,387	25,414	45,144	10,387
1.4	Other Interest Income	-	-	-	-	-	-	-
1.5	**Total interest income**	**3,194,146**	**6,045,521**	**1,350,714**	**2,696,744**	**3,194,146**	**6,045,521**	**2,696,744**
2	**INTEREST EXPENSES**							
2.1	Customer deposits	1,109,786	2,173,142	460,938	886,437	1,109,786	2,173,142	886,437
2.2	Deposits and placement from banking institutions	63,784	126,790	19,742	42,825	63,784	126,790	42,825
2.3	Other interest expenses	678,035	1,311,822	279,480	537,449	677,425	1,479,916	740,278
2.4	**Total interest expenses**	**1,851,605**	**3,611,754**	**760,160**	**1,466,711**	**1,850,995**	**3,779,848**	**1,669,540**
3	**NET INTEREST INCOME/(LOSS)**	**1,342,541**	**2,433,767**	**590,554**	**1,230,033**	**1,343,150**	**2,265,673**	**1,027,203**
4	**OTHER OPERATING INCOME**							
4.1	Fees and commissions on loans and advances	18,008	62,953	16,436	26,950	18,008	62,953	26,950
4.2	Other fees and commissions	53,997	112,045	98,035	159,974	111,429	151,772	159,974
4.3	Foreign exchange trading income/(Loss)	24,418	38,173	6,298	15,011	24,418	38,173	15,011
4.4	Dividend Income	-	-	-	-	-	-	-
4.5	Other income	47,318	89,707	11,682	42,204	432,961	1,066,159	712,244
4.6	**Total Non-interest income**	**143,741**	**302,878**	**132,451**	**244,139**	**586,816**	**1,319,057**	**914,179**
5	**TOTAL OPERATING INCOME**	**1,486,282**	**2,736,645**	**723,005**	**1,474,172**	**1,929,966**	**3,584,730**	**1,941,382**
6	**OPERATING EXPENSES**							
6.1	Loan loss provision	228,135	375,908	179,706	369,437	228,135	375,908	369,456
6.2	Staff costs	395,700	929,804	201,123	409,065	601,385	1,227,078	498,545
6.3	Directors' emoluments	4,142	7,998	3,316	3,938	5,390	8,420	6,947
6.4	Rental charges	57,698	114,875	28,659	57,896	57,698	155,526	57,896
6.5	Depreciation charge on property and equipment	85,485	165,724	39,232	77,177	85,747	181,799	85,374
6.6	Amortisation charges	93,565	199,982	51,410	103,346	93,608	199,982	103,389
6.7	Other operating expenses	514,531	1,337,633	265,592	527,661	845,378	2,087,702	914,089
6.8	**Total Other Operating Expenses**	**1,379,256**	**3,131,924**	**769,038**	**1,548,520**	**1,917,341**	**4,236,415**	**2,035,696**
7	**Profit/(loss) before tax and exceptional items**	**107,026**	**(395,279)**	**(46,033)**	**(74,348)**	**12,625**	**(651,685)**	**(94,314)**
8	Exceptional items	-	13,555	-	-	19	8,941	-
9	**Profit/(loss) after exceptional items**	**107,026**	**(381,724)**	**(46,033)**	**(74,348)**	**12,644**	**(642,744)**	**(94,314)**
10	Current tax	(49,232)	(13,134)	-	-	(5,816)	(13,623)	(2,717)
11	Deferred tax	-	(33,967)	-	-	-	58,149	-
12	**Profit/(loss) after tax and exceptional items**	**57,794**	**(428,825)**	**(46,033)**	**(74,348)**	**6,828**	**(598,218)**	**(97,031)**
13	**Other Comprehensive Income**							
13.1	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-	-
13.2	Fair value changes in available for sale financial assets	46,121	60,379	65,200	138,919	46,121	60,379	138,919
13.3	Revaluation surplus on Property,plant and equipment	-	860	-	-	-	860	-
13.4	Share of other comprehensive income of associates	-	-	-	-	-	-	-
13.5	Income tax relating to components of other comprehensive income	(13,836)	(18,114)	(19,560)	(41,676)	(13,836)	(18,114)	(41,676)
14	**Other Comprehensive Income for the year net of tax**	32,284	43,125	45,640	97,243	32,285	43,125	97,243
15	**Total comprehensive income for the year**	90,078	(385,700)	(393)	22,895	39,113	(555,093)	212
	Earnings per share	**23.12**	**(85.77)**	**(36.83)**	**(29.74)**	**0.04**	**(1.56)**	**(0.50)**
	Dividend per share	**25.00**	**25.00**		-	-	-	-

HFC LTD

UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

		Bank				Group Consolidated		
		30.06.2018	31.12.2018	31.03.2019	30.06.2019	30.06.2018	31.12.2018	30.06.2019
	DISCLOSURES	UnAudited	Audited	UnAudited	UnAudited	UnAudited	Audited	UnAudited
III	AS AT 30 JUNE 2019	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)
1	**Non-Performing Loans and Advances**							
	a) Gross non-performing loans and advances	8,863,539	13,334,356	12,968,197	12,974,200	8,863,539	13,334,356	12,974,200
	b) Less: Interest in Suspense	1,496,388	2,501,523	2,673,324	2,845,300	1,496,388	2,501,523	2,845,300
	c) Total non-Performing loans and advances (a-b)	7,367,152	10,832,833	10,294,872	10,128,900	7,367,152	10,832,833	10,128,900
	d) Less: Loan loss provisions	1,959,174	2,098,159	2,488,850	2,542,118	1,959,174	2,098,159	2,542,118
	e) Net non-performing loans and advances(c-d)	5,407,977	8,734,674	7,806,022	7,586,782	5,407,977	8,734,674	7,586,782
	f) Discounted value of securities	5,407,977	8,734,674	7,806,022	7,586,782	5,407,977	8,734,674	7,586,782
	g) Net Exposure(e-f)	-	-	-	-	-	-	-
2	**Insider loans and advances**							
	a) Directors, shareholders and associates	464,484	1,549,429	1,497,959	1,451,304	464,484	1,549,429	1,451,304
	b) Employees	909,115	868,996	847,248	794,231	909,115	868,996	794,231
	c) Total Insider Loans and Advances	**1,373,599**	**2,418,425**	**2,345,206**	**2,245,535**	**1,373,599**	**2,418,425**	**2,245,535**
3	**Off-Balance Sheet items**							
	a) Letters of credit, guarantees and acceptances	158,821	184,760	173,192	92,321	158,821	184,760	92,321
	b) Forwards, swaps and options	1,918,070	972,275	809,700	964,450	1,918,070	972,275	964,450
	c) Other contingent liabilities	-	-	-	-	-	-	-
	c) Total contingent liabilities	**2,076,891**	**1,157,035**	**982,892**	**1,056,771**	**2,076,891**	**1,157,035**	**1,056,771**
4	**Capital Strength**							
	a) Core capital	7,945,979	6,925,770	6,498,789	6,417,172	8,682,700	7,370,131	6,899,812
	b) Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000
	c) Excess/Deficiency	6,945,979	5,925,770	5,498,789	5,417,172	7,682,700	6,370,131	5,899,812
	d) Supplementary capital	757,469	684,869	620,310	593,343	757,469	684,869	592,246
	e) Total capital (a+d)	8,703,447	7,610,639	7,119,099	7,010,515	9,440,169	8,055,000	7,492,058
	f) Total risk weighted assets	50,932,537	48,940,357	45,724,837	45,517,330	55,889,419	52,178,149	47,521,522
	g) Core capital /Total deposit liabilities	21.61%	19.54%	18.97%	18.86%	23.73%	20.88%	20.35%
	h) Minimum Statutory Ratio	8.00%	8.00%	8.00%	8.00%	8.00%	8.00%	8.00%
	i) Excess/Deficiency	13.61%	11.54%	10.97%	10.86%	15.73%	12.88%	12.35%
	j) Core capital /Total risk weighted assets	15.60%	14.15%	14.21%	14.10%	15.54%	14.12%	14.52%
	k) Minimum Statutory Ratio	10.50%	10.50%	10.50%	10.50%	10.50%	10.50%	10.50%
	l) Excess/Deficiency (j-k)	5.10%	3.65%	3.71%	3.60%	5.04%	3.62%	4.02%
	m) Total capital /Total risk weighted assets	17.09%	15.55%	15.57%	15.40%	16.89%	15.44%	15.77%
	n) Minimum Statutory Ratio	14.50%	14.50%	14.50%	14.50%	14.50%	14.50%	14.50%
	o) Excess/Deficiency (m-n)	2.59%	1.05%	1.07%	0.90%	2.39%	0.94%	1.27%
	p) Adjusted Core Capital/Total Deposit Liabilities*	22.80%	20.05%	19.40%	19.08%			
	q) Adjusted Core Capital/Total Risk Weighted Assets*	16.50%	14.52%	14.50%	14.27%			
	r) Adjusted Total Capital/Total Risk Weighted Assets*	18.00%	15.92%	15.90%	15.57%			
5	**Liquidity**							
	a) Liquidity Ratio	20.88%	20.92%	20.84%	20.90%	20.88%	20.92%	20.90%
	b) Minimum Statutory Ratio	20.00%	20.00%	20.00%	20.00%	20.00%	20.00%	20.00%
	c) Excess(Deficiency) (a-b)	0.88%	0.92%	0.84%	0.90%	0.88%	0.92%	0.90%

***Notes**

The adjusted Capital Ratios includes the expected credit loss provisions added back to Capital in line with CBK Guidance Note issued in April 2018 on implementation of IFRS 9.

These financial statements are extracts from the books of the institution. The complete set of quarterly financial statements, statutory and qualitative disclosures can be accessed on the institutions website www.hfgroup.co.ke

They may also be accessed at the institutions head office located at Rehani House, Kenyatta Avenue/Koinange Street, Nairobi

Robert Kibaara	Kaushik Manek	Steve Mainda
Group Managing Director	HFC Chairman	Group Chairman